Hitachi (6501)

Long-term opportunities in data center business

Overweight

6501.T, 6501 JP
Price (08 Oct 26):¥5,597
Price Target (Dec-27):¥6,500

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We attended Data Center World Asia, in Singapore on September 29-30 where we had the opportunity to hear from KJ Joshi, Chief Business Officer and head of Hitachi's data center business, about Hitachi's data center business strategy. We find the business opportunity compelling, as the business can bring together capabilities from across the group, including Hitachi Energy, IT services, and engineering. While seemingly not yet at the stage where revenue targets can be discussed, we think the business could lead to growth in Hitachi Energy's service revenue and expansion of the HMAX business over the medium to long term.

- **Overview of data center business:** The data center business provides solutions that bring together capabilities from across business domains as One Hitachi. It is part of the effort to create growth businesses being driven by the Strategic SIB Business Unit, established directly under the CEO in April 2025. The business is centered on (1) providing energy parks to secure long-term access to electric power for data center operators, and (2) HMAX solutions, which are software platforms for comprehensive monitoring and control of electric power used in data centers.
- **Energy Parks:** Energy Parks provide gigawatt-scale power to AI data centers as Energy-as-a-Service. Hitachi builds sites with power generation and storage facilities, transmission and distribution systems, and energy management systems built within or adjacent to the facilities of electric power users. Hitachi raises funds from financial institutions and investors through special purpose vehicles (SPVs) and provides services in collaboration with EPC contractors, electric power companies, and infrastructure companies. The company focuses on (a) hybrid designs combining various power sources such as on-site power generation, solar power, and BESS, (b) power equipment and cooling systems designed in anticipation of rack upscaling, (c) prefabricated module manufacturing to shorten lead times, and (d) alliances with other companies to complement the supply chain, thereby ensuring competitiveness.
- **HMAX Data Center:** HMAX Data Center is a software solution that comprehensively monitors and controls outdoor extra-high-voltage equipment (Green Space) such as transformers and BESS, indoor medium- and low-voltage equipment, UPS and cooling systems (Gray Space), and servers and power racks (White Space). Since sudden load spikes from AI servers also put strain on the power grid, on-site BESS is needed to absorb and smooth out power spikes, and when BESS alone cannot handle the demand, supplemental power must be provided by on-site power generation facilities. Hitachi has network operations centers around the world to provide real-time monitoring and operation & maintenance (O&M) as SaaS/managed services. The company employs an automated control loop that uses AI to assess, predict, and act on equipment and facility operations.

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Investment Thesis, Valuation and Risks

Hitachi (6501) *(Overweight; Price Target: ¥6,500)*

Investment Thesis

Hitachi's Lumada digital solution platform is contributing not only to expanding its business to a broad range of industries, supported by the digital transformation of overall society and industry, but also to converting its business model to one based mainly on services. Hitachi also has a large number of growth opportunities related to the environment (power transmission, railway systems, industry). We look for continued share buybacks along with asset sales.

Valuation

Our end-December 2027 price target of ¥6,500 values the shares at a 10% premium to the theoretical share price we derive using an SOTP model based on our FY2027 forecasts. We reference comparable companies' EV/EBITDA multiples as target multiples. We apply this premium because of (1) Hitachi's business model capable of leveraging its strengths as a conglomerate, (2) relatively high visibility for profit growth within the sector, and (3) management's robust commitment to improving capital efficiency.

Sum-of-the-parts model based on FY2027 J.P. Morgan estimates

	EBITDA (mn JPY)	EBIT (mn JPY)	D&A (mn JPY)	EV/EBITDA (x)	EV (mn JPY)	Per share (JPY)
Digital Systems & Services	645,000	505,000	140,000	9.3	5,966,250	1,387
Energy	852,000	682,000	170,000	16.5	14,058,000	3,269
Mobility	195,000	130,000	65,000	5.0	975,000	227
Connective Industries	498,000	412,000	86,000	10.5	5,229,000	1,216
Total	2,190,000	1,729,000	461,000	12.0	26,228,250	6,099
All Other / Corporate	-28,400	-69,000	40,600	12.0	-340,129	-79
Corporate value					25,888,121	6,020
Net debt					347,764	81
Market value ex. major subsidiary / equity method investment					25,540,357	5,939
Number of outstanding shares (K)					4,300,410	
Hitachi Theoretical value (JPY)					5,939	
Premium					10%	
Target price (JPY)					6,500	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Greater-than-expected expansion in demand and margin in the power transmission and distribution business
- Industry segment growth due to increase in domestic capex
- Increase in valuation premium due to higher-than-expected profitability driven by the expansion of Lumada

Downside Scenario to Target Price/Rating

- Negative impact of AI on IT services market
- Unprofitable major projects in the energy and railway areas
- Conglomerate discount due to insufficient margin improvement in Lumada

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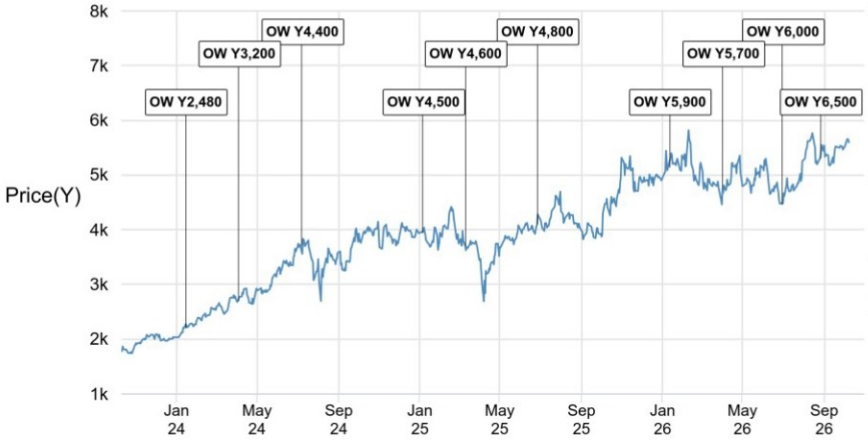
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Hitachi (6501) (6501.T, 6501 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
15-Jan-24	OW	2200	2,480
04-Apr-24	OW	2704	3,200
08-Jul-24	OW	3709	4,400
06-Jan-25	OW	3937	4,500
11-Mar-25	OW	3703	4,600
27-Jun-25	OW	4095	4,800
12-Jan-26	OW	5135	5,900
02-Apr-26	OW	4732	5,700
01-Jul-26	OW	4471	6,000
27-Aug-26	OW	5307	6,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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